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By Westpac New Zealand Economics

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RBNZ now expected to hike in October

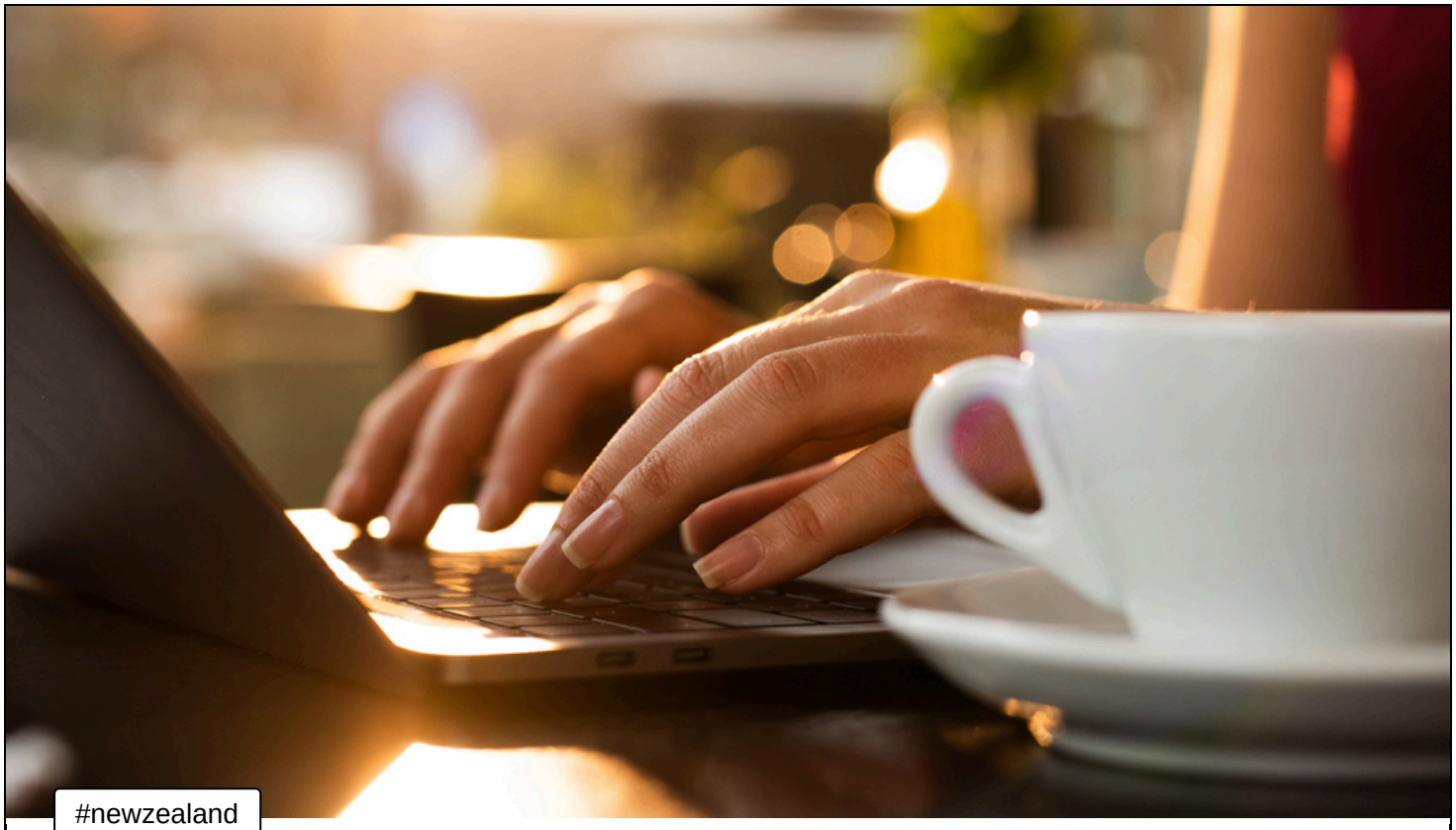
We now expect the RBNZ will deliver a 25bp hike at its policy review on 28 October. While September quarter inflation was slightly below the RBNZ's forecast, the underlying detail was firm. More recently, increases in fuel prices point to a material lift in inflation by year-end. We expect further interest rate increases over the coming months, with the OCR reaching a peak of 4% next year.

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